

Best's Credit Rating Effective Date

June 06, 2025

Analytical Contacts

Brent DeAngelis
Financial Analyst II
Brent.DeAngelis@ambest.com
+1(908) 439-2200 Ext. 908-882-1730

Kathryn Steffanelli
Associate Director
Kate.Steffanelli@ambest.com
+1(908) 439-2200 Ext. 908-882-2337

Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

[Market Segment Outlooks](#)

Financial Data Presented

Financial data in this report: (i) includes data of affiliated entities that are not rating unit members where analytics benefit from inclusion; and/or (ii) excludes data of rating unit member entities if they operate in different segments or geographic areas than the Rating Unit generally. See [list of companies](#) for details of rating unit members and any such included and/or excluded entities.

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

New Era Group

AMB #: 070009

Associated Ultimate Parent: AMB # 050852 - New Era Enterprises, Inc.

Best's Credit Ratings - for the Rating Unit Members

Financial Strength Rating (FSR)

A-
Excellent
Outlook: Stable
Action: Affirmed

Issuer Credit Rating (ICR)

a-
Excellent
Outlook: Stable
Action: Affirmed

Assessment Descriptors

Balance Sheet Strength	Strong
Operating Performance	Adequate
Business Profile	Neutral
Enterprise Risk Management	Appropriate

Rating Unit - Members

Rating Unit: New Era Group | **AMB #:** 070009

AMB # **Rating Unit Members**
007087 New Era Life Insurance Company
007148 New Era Life of the Midwest

AMB # **Rating Unit Members**
009166 Philadelphia American Life Ins

Rating Rationale

Balance Sheet Strength: **Strong**

- New Era's risk-adjusted capitalization is assessed within the strongest category, as measured by Best's Capital Adequacy Ratio (BCAR).
- New Era has increased the allocation of below-investment-grade bonds in recent years, except in 2024 when the allocation decreased. This strategy began in 2020 in order to enhance the yield of the invested asset portfolio, but it also introduces more risk to the balance sheet.
- New Era has limited financial flexibility but adequate liquidity and cash flows to support operations.

Operating Performance: **Adequate**

- Investment income, which increased 3.4% over the year, roughly offsets the impact of elevated combined ratios in the Medicare Supplement and Non-Medicare Supplement lines of business.
- Strong premium growth is attributable to a robust distribution network and focused, streamlined product set.
- Net earnings dropped significantly from the prior year, due mainly to increased medical and surgical costs. The group still boasts solid return metrics overall.

Business Profile: **Neutral**

- New Era is a consumer-focused company that actively writes fixed annuities and non-major medical health insurance products. Each product line -- fixed annuities, Medicare Supplement, and under-65 products -- contributes significantly to the overall business.
- The group is exposed to some geographic concentration as roughly 70% of direct premiums are written in the group's top five states.
- Despite a competitive business environment, New Era has maintained its niche market.

Enterprise Risk Management: **Appropriate**

- The enterprise risk management (ERM) program is designed for the group to only engage in risks that are understood and thoroughly evaluated.
- There is regular monitoring and reporting of risk metrics to oversee existing risks and identify new potential risks.
- Risks are well identified and include the following: operational, product, investment, financial, technology, reputational, and legal/litigation.

Outlook

- The stable outlooks reflect AM Best's expectation that New Era will maintain its overall balance sheet strength assessment while also maintaining adequate operating results.

Rating Drivers

- Negative rating action could occur if there is a material decline in the overall balance sheet strength.
- Negative rating action could occur if there is a decline in the business profile of the group.
- While seen as unlikely, positive rating action could occur if operating performance metrics of the group experience a sustained increase.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	47.8	34.3	28.9	27.5

Source: Best's Capital Adequacy Ratio Model - L/H, US

Year End - December 31

Key Financial Indicators USD (000)

	2024	2023	2022	2021	2020
Assets:					
General Account	1,264,517	1,221,034	1,148,824	1,118,121	1,041,609
Total	1,264,517	1,221,034	1,148,824	1,118,121	1,041,609
Liabilities:					
Net Life Reserves	891,523	830,115	769,696	773,239	705,066
Net Accident & Health Reserves	110,018	116,409	118,769	122,158	122,403
Liability for Deposit Contracts	7,117	7,274	8,266	9,065	9,054
Asset Valuation Reserve	31,009	32,213	26,984	19,586	13,166
Other General Account	37,872	52,616	59,604	42,507	67,430
Total	1,077,539	1,038,627	983,320	966,555	917,118
Total Capital and Surplus	186,978	182,407	165,504	151,566	124,491
Net Income	-81	21,976	21,758	30,174	32,245
Net Premiums Earned	726,450	643,571	563,797	629,392	524,119
Net Investment Income	67,802	65,639	53,777	49,749	39,247

Source: BestLink® - Best's Financial Suite

Year End - December 31

Key Financial Ratios (%)

	2024	2023	2022	2021	2020	Weighted Average
Operating Return on Revenue	-0.2	3.2	2.8	2.9	5.1	2.6
Operating Return on Capital and Surplus	-0.8	13.1	11.2	15.0	26.3	11.7
Net Investment Yield	5.6	5.7	4.9	4.8	4.1	5.0
Pre-Tax Investment Total Return	6.8	5.9	4.9	7.6	5.1	6.1

Source: BestLink® - Best's Financial Suite

Year End - December 31

Leverage (%)

	2024	2023	2022	2021	2020
General Account Liabilities to Capital and Surplus	5.8	5.7	5.9	6.4	7.4
Higher Risk Assets to Capital and Surplus:					
Mortgages Not in Good Standing	...	...	...	...	7.4
All Other Higher Risk Assets	132.0	157.6	164.8	135.4	143.0

Source: BestLink® - Best's Financial Suite

Year End - December 31

Liquidity Analysis

	2024	2023	2022	2021	2020
Current Liquidity (%)	75.8	85.5	87.0	91.6	86.2
Net Operating Cash Flow USD (000)	52,630	78,640	24,156	61,624	61,630

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

New Era's risk-adjusted is assessed as strongest, based on Best's Capital Adequacy Ratio (BCAR). The company has increased its risk profile with a high allocation to mortgage loans; AMB notes the company has expertise in this asset class and the portfolio has never reported a loss. Additionally, the company invests in convertible bonds as a way to increase returns without significantly increasing risks. New Era has also increased the group's allocation to high yield bonds in the past four years. The strategy with high yield bonds has improved investment yields but negatively affected risk adjusted capitalization.

New Era continues to maintain appropriate liquidity levels for the nature of its liabilities. The group's 2024 current liquidity ratio of 76% (down from 86% at 2023) is consistent with prior years. Further, the company continues to report positive net operating cash flows. Overall, the group has maintained its balance sheet metrics including liquidity and cash holdings.

Balance Sheet Strength (Continued...)

Capitalization

Year-end Capital & Surplus (C&S) increased year-over-year to \$187million at year-end 2024 from \$182.4 million as of year-end 2023. For at least the most recent five-year period, the company has shown consistent C&S growth reflecting an 50% increase from 2020 through 2024.

C&S is driven by operating income and minimally affected by items through other comprehensive income. New Era has not paid dividends to the parent company and does not plan on doing so in the near term.

Year End - December 31

Capital Generation Analysis USD (000)	2024	2023	2022	2021	2020
Beginning Capital and Surplus	182,407	165,504	151,566	124,491	101,666
Net Operating Gain	-1,405	22,872	17,828	20,696	29,732
Net Realized Capital Gains (Losses)	1,324	-896	3,930	9,478	2,512
Net Unrealized Capital Gains (Losses)	1,119	243	-1,714	1,779	-1,805
Net Change in Paid-In Capital and Surplus	...	...	...	...	-3,000
Other Changes in Capital and Surplus	3,533	-5,317	-6,106	-4,877	-4,615
Net Change in Capital and Surplus	4,571	16,903	13,938	27,075	22,825
Ending Capital and Surplus	186,978	182,407	165,504	151,566	124,491
Net Change in Capital and Surplus (%)	2.5	10.2	9.2	21.7	22.5
Net Change in Capital and Surplus (5 yr CAGR)	13.0	...	...	...	...

Source: BestLink® - Best's Financial Suite

Asset Liability Management - Investments

New Era engages in a below investment grade (BIG) strategy, which has increased the BIG allocation to about 16.5% of total invested assets, where the company invests short-term in vital economic sectors. New Era also invests in a convertible bond portfolio, which is managed externally, as well as a significant allocation to mortgage loans. New Era leverages its expertise in writing commercial mortgage loans and connections with the community in which it operates to consistently report favorable investment results in the loan portfolio.

Year End - December 31

Composition of Cash and Invested Assets	2024	2023	2022	2021	2020
Total Cash and Invested Assets USD (000)	1,233,226	1,170,041	1,097,546	1,071,118	992,830
Composition Percentages (%)					
Unaffiliated:					
Cash and Short Term Investments	3.8	8.4	3.1	6.1	6.0
Bonds	61.0	65.8	72.9	75.0	71.8
Stocks	0.6	0.5	0.5	0.5	0.8
Mortgage Loans	30.9	23.7	21.5	17.7	20.8
Other Invested Assets	3.7	1.2	1.3	0.1	0.6
Total Unaffiliated	100.0	99.5	99.4	99.3	100.0
Investments in Affiliates	...	0.5	0.6	0.7	...
Total	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)

Bonds and Short Term Investments - Distribution by Maturity (%)	Years					Average (Years)
	0-1	1-5	5-10	10-20	20+	
Government Bonds	0.2	0.8	0.1	0.1	...	3.8
Government Agencies and Municipal Bonds	0.4	0.5	0.9	2.2	1.9	15.0
Industrial and Miscellaneous Bonds	8.7	41.9	15.4	23.6	3.2	7.3
Total Bonds	9.3	43.2	16.4	25.9	5.1	7.7

Source: BestLink® - Best's Financial Suite

Bonds - Distribution by Issuer	Year End - December 31				
	2024	2023	2022	2021	2020
Bonds USD (000)	752,354	769,678	800,619	803,311	712,991
US Government (%)	1.2	1.1	0.8	0.7	0.8
Foreign - All Other (%)	19.9	27.9	26.9	20.7	15.6
State, Municipal & Special Revenue (%)	6.0	6.7	8.3	9.4	11.9
Industrial & Miscellaneous (%)	73.0	64.3	64.0	69.1	71.7
Total Bonds (%)	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Reserve Adequacy

Low product risk and steady positive earnings suggests that reserve basis is adequate. Medicare supplement and under age 65 products can be repriced periodically, annuities are short term duration and life reserves are prescribed.

Holding Company Assessment

There is no operating or financial leverage at New Era Enterprises. The impact of the holding company to the group is neutral.

Operating Performance

The assessment of New Era's overall operating performance is adequate. The New Era Group has reported consistently favorable statutory net operating gains with 2024 more the exception. New Era Group reported \$800 thousand in statutory pre-tax operating losses before realized losses in 2024, compared to \$30 million in 2023. Net income reported for 2024 was at break-even. This decline is primarily due to higher-than-expected loss ratios in the Medicare Supplement and non-Medicare Supplement lines of business as well as a one-time investment write-off.

Premiums written increased on a direct and net basis. Net Premiums Written (NPW) were up 13% year-over-year to \$727 million at year-end 2024 from \$644 million at year-end 2023. The premium increase is reflective of a large increase in fixed annuities partially as well as modest growth in the supplemental health line on a net basis.

The group's investment performance remains strong with an 3.4% year-over-year increase in net investment income. New Era's bond portfolio and mortgage portfolio drove the increase in investment income. Additionally, the New Era Group of companies continues to realize good investment spread income from the fixed annuity business related to the product's low commission rates.

Operating Performance (Continued...)

	Year End - December 31				
Net Operating Gain By LOB USD (000)	2024	2023	2022	2021	2020
Individual Life	2,933	2,363	822	562	740
Group Life	603	743	296	336	270
Individual Annuities	6,953	4,733	5,337	7,204	3,696
Accident & Health	10,871	12,220	9,042	10,277	22,413
Other Lines of Business	-22,765	2,813	2,331	2,317	2,613
Total	-1,405	22,872	17,828	20,696	29,732

Source: BestLink® - Best's Financial Suite

	Year End - December 31				
Accident & Health Statistics	2024	2023	2022	2021	2020
Net Premiums Written USD (000)	459,815	437,958	444,695	416,044	385,635
Net Premiums Earned USD (000)	460,285	438,469	444,766	425,128	383,090
Claims and Cost Containment Ratio (%)	75.5	74.2	72.8	74.0	67.2
Expense Ratio (%)	25.6	26.7	27.9	28.4	28.1
Combined Ratio (%)	101.0	101.0	100.7	102.4	95.3
Underwriting Results USD (000)	-4,566	-4,036	-3,003	-7,748	17,133

Source: BestLink® - Best's Financial Suite

Business Profile

The New Era Group (New Era) of companies is comprised of New Era Life Insurance Company (New Era Life), Philadelphia American Life Insurance Company (Philadelphia American) and New Era Life Insurance Company of the Midwest (New Era Midwest). New Era Life is a wholly-owned subsidiary of New Era Enterprises, Inc., a privately-owned insurance holding company. New Era Life has two wholly-owned subsidiaries, Philadelphia American and New Era Midwest. New Era Life, Philadelphia American and New Era Midwest comprise the New Era group of companies. Individual investors in the parent company total approximately 30 and include Dr. Bill Chen, President & CEO, Don Wang, Chairman Emeritus, and their families.

As a niche company providing consumer-centric products, New Era has benefited from long-standing relationships with consumers and the loyalty of its agents. The consumer oriented philosophy of stable pricing and excellent service is expected to attract high quality agents and business. The New Era Group of companies has relationships with field marketing organizations (FMOs) marketing Medicare supplement and an increasing number of managing general agents. In total, the company has grown to over 6,000 agents.

The company has developed a niche and its primary objective is to provide enhanced valued products and services to consumers by offering a diverse portfolio of products through independent distribution with lower commission, offering value to the ultimate policyholder.

Collectively, the group is licensed in 48 states, DC, and the US Virgin Islands. Although the company has business in all 48 states, it focuses primarily on the southwestern and Midwest states with the majority of business being sold in Texas and Pennsylvania which exposes the company to some geographic concentration. Distribution depends solely on agents.

New Era Group's core offering include a mix of structured, low risk products geared towards three markets: Medicare Supplement for the senior market, Indemnity Health for the under age 65 market, and short-duration fixed annuities. Despite a competitive landscape the group has maintained steady growth. Management's philosophy in developing its product offerings is that all risks and products offered need to be well vetted and understood.

Business Profile (Continued...)

2024 By Line Business	Direct Premiums Written		Reinsurance Premiums Assumed		Reinsurance Premiums Ceded		Net Premiums Written		Business Retention
	USD (000)	%	USD (000)	%	USD (000)	%	USD (000)	%	%
Individual Life	6,823	0.9	1	1.6	472	1.3	6,352	0.9	93.1
Group Life	64	...	...	...	6	...	58	...	90.5
Individual Annuities	259,792	34.1	...	...	...	...	259,792	35.8	100.0
Accident & Health	495,606	65.0	81	98.4	35,440	98.7	460,247	63.4	92.9
Total	762,286	100.0	82	100.0	35,919	100.0	726,450	100.0	95.3

Source: BestLink® - Best's Financial Suite

Year End - December 31

Geographic Breakdown by Direct Premiums Written and Deposit-Type Contracts USD (000)

	2024	2023	2022	2021	2020
Texas	384,789	327,689	248,707	317,313	240,353
Pennsylvania	56,271	58,672	63,055	65,574	69,372
Georgia	35,817	37,185	40,136	38,856	38,006
Mississippi	35,399	35,493	37,038	36,036	37,976
Indiana	33,889	33,209	32,016	28,790	26,333
Top 5 States	546,165	492,248	420,953	486,569	412,040
All Other	215,701	218,472	224,110	200,940	183,123
Total	761,866	710,720	645,063	687,509	595,163
Geographic Concentration Index	0.27	...	...	...	...

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

The President and CEO (who is also the CRO) is ultimately responsible for the enterprise risk management (ERM) function; However, he shares the duties with the Chief Operating Officer and the head of audit. Senior management has worked diligently to embed risk management practices and procedures throughout the hierarchy of the organization. The ERM framework identifies and addresses foreseeable and relevant material risk exposure, including operational, product, investment, financial, technology, reputational, and legal/litigation. Managers from all departments meet weekly to monitor risk exposure through quantitative assessments as well as ongoing qualitative assessments. All risks are ranked by relevancy. The claim review committee reviews every denied claim to reduce potential litigation and claim checks are also monitored to mitigate risks associated with fraudulent claim checks issued. The investment committee helps mitigate risks associated with interest rate fluctuation and mismatching of assets and liabilities, reviewing investment activities on a weekly basis. Investments are closely watched and put through numerous stress testing. The organization also continues to monitor actual experience to identify other risk areas and develop risk management policies accordingly. The company has negligible LTC and no high-risk profile products risk appetite. Understanding risk reward trade-offs on both sides of the balance sheet is a key principal by which the company is managed.

ERM is performed in a non-traditional way where management exposes the company to risks it understands and can manage, as opposed to taking on different risks and managing them. The board of directors meets quarterly to review any unusual items. A disaster recovery plan is in place with offsite servers in Houston, TX and Omaha, NE. The organization has a strong actuarial staff and provides cross training to colleagues.

Reinsurance Summary

Maximum net retention on any one life is \$50,000. Maximum net retention on health plans is \$250,000 per individual, per year.

Low reliance on reinsurance, but low credit quality and low risk products in general make the appropriateness of the reinsurance program adequate for the company's needs.

Enterprise Risk Management (Continued...)

Environmental, Social & Governance

AM Best expects that New Era's exposure to material environmental, social, and corporate governance (ESG) risks to be low. However, as an annuity writer, New Era is exposed to changing demographics which can impact mortality and morbidity assumptions.

Financial Statements

Year End - December 31

	2024		2023	
Balance Sheet	USD (000)	%	USD (000)	%
Cash and Short Term Investments	46,978	3.7	97,722	8.0
Bonds	752,354	59.5	769,678	63.0
Preferred and Common Stock	7,670	0.6	5,946	0.5
Other Invested Assets	426,224	33.7	296,696	24.3
Total Cash and Invested Assets	1,233,226	97.5	1,170,041	95.8
Premium Balances	2,647	0.2	2,856	0.2
Net Deferred Tax Asset	7,068	0.6	5,025	0.4
Other Assets	21,576	1.7	43,111	3.5
Total General Account Assets	1,264,517	100.0	1,221,034	100.0
Total Assets	1,264,517	100.0	1,221,034	100.0
Net Life Reserves	891,523	70.5	830,115	68.0
Net Accident & Health Reserves	110,018	8.7	116,409	9.5
Liability for Deposit Contracts	7,117	0.6	7,274	0.6
Asset Valuation Reserve	31,009	2.5	32,213	2.6
Other Liabilities	37,872	3.0	52,616	4.3
Total General Account Liabilities	1,077,539	85.2	1,038,627	85.1
Total Liabilities	1,077,539	85.2	1,038,627	85.1
Capital Stock	2,710	0.2	2,710	0.2
Paid-In and Contributed Surplus	15,300	1.2	15,300	1.3
Unassigned Surplus	168,968	13.4	164,397	13.5
Total Capital and Surplus	186,978	14.8	182,407	14.9
Total Liabilities, Capital and Surplus	1,264,517	100.0	1,221,034	100.0

Source: BestLink® - Best's Financial Suite

Year End - December 31

Income Statement USD (000)	2024	2023
Net Premiums Earned:		
Individual Life	6,352	6,422
Group Life	58	57
Individual Annuities	259,792	198,762
Accident & Health	460,247	438,330
Total Net Premiums Earned	726,450	643,571
Net Investment Income	67,802	65,639
Other Income	7,769	9,966
Total Revenue	802,021	719,177
Policy Benefits	637,697	555,468
Commissions and Expense Allowances	61,434	67,670
Insurance and Other Expense	103,698	66,478
Pre-Tax Net Operating Gain	-808	29,561
Income Taxes Incurred	596	6,688
Net Operating Gain	-1,405	22,872
Net Realized Capital Gains	1,324	-896
Net Income	-81	21,976

Source: BestLink® - Best's Financial Suite



Statement of Operating Cash Flows USD (000)	Year End - December 31	
	2024	2023
Net Premiums Collected	732,015	643,996
Net Investment Income	77,101	68,319
Other Income Received	2,234	6,201
Total Collected Operating Revenue	811,350	718,517
Net Benefits and Loss Related Payments	583,810	498,184
Commissions and Other Expenses Paid	166,182	134,632
Income Taxes Paid (Recovered)	8,728	7,060
Total Paid Expenses and Transfers	758,719	639,877
Net Operating Cash Flow	52,630	78,640

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

[AM Best's Stress Liquidity Ratio for US Life Insurers, 05/09/2024](#)[Best's Credit Rating Methodology, 08/29/2024](#)[Available Capital and Insurance Holding Company Analysis, 08/15/2024](#)[Scoring and Assessing Innovation, 02/20/2025](#)[Understanding BCAR for US and Canadian Life/Health Insurers, 05/29/2025](#)

A Best's Financial Strength Rating opinion addresses the relative ability of an insurer to meet its ongoing insurance obligations. The ratings are not assigned to specific insurance policies or contracts and do not address any other risk, including, but not limited to, an insurer's claims-payment policies or procedures; the ability of the insurer to dispute or deny claims payment on grounds of misrepresentation or fraud; or any specific liability contractually borne by the policy or contract holder. A Financial Strength Rating is not a recommendation to purchase, hold or terminate any insurance policy, contract or any other financial obligation issued by an insurer, nor does it address the suitability of any particular policy or contract for a specific purpose or purchaser.

A Best's Issue/Issuer Credit Rating is an opinion regarding the relative future credit risk of an entity, a credit commitment or a debt or debt-like security.

Credit risk is the risk that an entity may not meet its contractual, financial obligations as they come due. These credit ratings do not address any other risk, including but not limited to liquidity risk, market value risk or price volatility of rated securities. The rating is not a recommendation to buy, sell or hold any securities, insurance policies, contracts or any other financial obligations, nor does it address the suitability of any particular financial obligation for a specific purpose or purchaser.

In arriving at a rating decision, AM Best relies on third-party audited financial data and/or other information provided to it. While this information is believed to be reliable, AM Best does not independently verify the accuracy or reliability of the information. Any and all ratings, opinions and information contained herein are provided "as is," without any express or implied warranty.

Visit <https://www.ambest.com/ratings/index.html> for additional information or <https://web.ambest.com/about/terms-of-use> for details on the Terms of Use.

Copyright © 2025 A.M. Best Company, Inc. and/or its affiliates. All rights reserved No portion of the content may be reproduced, distributed, or stored in a database or retrieval system, or transmitted, or uploaded into any external applications, algorithms, bots or websites, including those using artificial intelligence or machine learning technologies such as large language models (LLM) and generative artificial intelligence (Gen-AI) or retrieval-augmented generation (RAG) in any form or by any means without the prior written permission of AM Best. AM Best does not warrant the accuracy, completeness, or timeliness of the AM Best content. While the content was obtained from sources believed to be reliable, its accuracy is not guaranteed. You specifically acknowledge that neither AM Best nor the content gives any investment, financial, tax, insurance, or legal advice. You are solely responsible for seeking competent professional advice before making any investment, financial, tax or insurance decision. For additional details, refer to our *Terms of Use* available at the AM BEST website: <https://web.ambest.com/about/terms-of-use>. All information contained herein was obtained by AM BEST from sources believed by it to be accurate and reliable. Notwithstanding the foregoing, AM BEST does not make any representation or warranty, expressed or implied, as to the accuracy or completeness of the information contained herein, and all such information is provided on an "as is" and "as available" basis, without any warranties of any kind, either express or implied. Under no circumstances shall AM BEST have any liability to any person or entity for (a) any loss or damage of any kind, in whole or in part caused by, resulting from, or relating to, any error (negligent or otherwise) or other circumstance or contingency within or outside the control of AM BEST or any of its directors, officers, employees, or agents in connection with the procurement, collection, compilation, analysis, interpretation, communication, publication or delivery of any such information, or (b) any direct, indirect, special, consequential, compensatory, punitive or incidental damages whatsoever (including without limitation, personal injury, pain and suffering, emotional distress, loss of revenue, loss of present or prospective profits, loss of business or anticipated savings, or loss of goodwill) resulting from the use of, or inability to use, any such information, in each case, regardless of (i) whether AM BEST was advised in advance of the possibility of such damages, (ii) whether such damages were foreseeable, and (iii) the legal or equitable theory (contract, tort or otherwise) upon which the claim is based. The credit ratings, performance assessments, financial reporting analysis, projections, and any other observation, position or conclusion constituting part of the information contained herein are, and shall be construed solely as, statements of opinion and not statements of fact or recommendations to purchase, sell or hold any securities, insurance policies, contracts or any other financial obligations, nor do they individually or collectively address the suitability of any particular financial obligation for a specific purpose or purchaser. Credit risk is the risk that an entity may not meet its contractual, financial obligations as they come due. Service performance risk is the risk that an entity may not meet its contractual service performance obligations on behalf of its insurance partners. Consequently, neither credit ratings nor performance assessments address any other risk, including but not limited to, liquidity risk, market value risk or price volatility of rated securities. NO WARRANTY, EXPRESS OR IMPLIED, AS TO THE ACCURACY, TIMELINESS, COMPLETENESS, MERCHANTABILITY OR FITNESS FOR ANY PARTICULAR PURPOSE OF ANY SUCH RATING OR ASSESSMENT OR OTHER OPINION OR INFORMATION IS GIVEN OR MADE BY AM BEST IN ANY FORM OR MANNER WHATSOEVER. Each credit rating, performance assessment or other opinion must be weighed solely as one factor in any investment or purchasing decision made by or on behalf of any user of the information contained herein. Each such user will, with due care, make its own study and evaluation of each security or other financial obligation, and of each issuer and guarantor of, and each provider of credit support, and an independent view of service provider performance for, each security or other financial obligation that it may consider purchasing, holding, or selling or for each service contract that it may consider entering into. For additional detail on credit ratings or performance assessments, and their respective scales, usage, and limitations, refer to the Guide to Best's Credit Ratings (<https://www.ambest.com/ratings/index.html>) or the Guide to Best's Performance Assessments (<https://www.ambest.com/ratings/assessmentMethodology.html>).

Reports were prepared exclusively for the use of Sarah Barchman. Not for redistribution unless otherwise permitted.